Funding Recommendation: Debt vs Equity

GLASS-BOX ADVISORY

Sample FMCG Co. (from uploaded CMA) | New Home Care manufacturing plant (base product)
Industry: Manufacturing | Project cost Rs 1,200 crore | Base year: FY2027 (Estimated) | 11 Oct 2026

Recommended funding mix

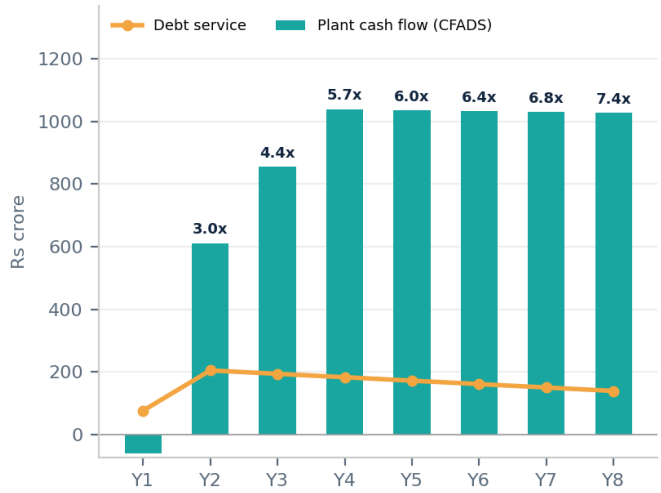
Debt: term loan, 7 yrs + 1 yr moratorium @ 8.5%
Equity: internal accruals (no new share issue)

75% DEBT | **25% EQUITY**

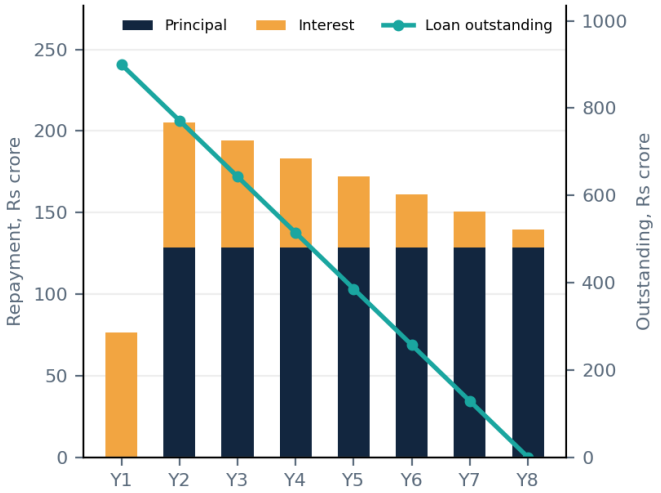
Debt Rs 900 cr (75%) — **Equity Rs 300 cr (25%)**

CAPACITY ADDED	COST PER UNIT	EXTRA CASH FLOW A YEAR	DEBT THE PLANT CAN BEAR
+6%	**-0.4%**	**Rs 1,027 cr/yr**	**Rs 1,845 cr**
+60,000 tonnes/yr	Rs 4.23 lakh to Rs 4.21 lakh per tonne	+5.8% on company cash flow	min DSCR 2.98x (stress 2.24x)

Plant cash flow vs debt service (DSCR labelled)



How the loan is repaid



Why this mix

- **The plant can carry the debt.** Its own cash flow covers loan payments at least **2.98x** against a 1.50x target, and still **2.24x** if earnings fall 20% and rates rise 2 points.
- **Debt is capped by prudence, not cash flow.** Cash flow alone could support about Rs 1,845 cr, but lenders expect at least 25% own contribution, so debt is set at 75%.
- **Debt is the cheaper external money.** After tax it costs about 6.4% a year, versus roughly 12% expected by new equity investors, and it keeps ownership undiluted.
- **No new shares needed.** The 25% equity portion (Rs 300 cr) comes from internal accruals; liquid reserves of Rs 6,808 cr cover it while keeping a Rs 2,000 cr safety buffer.
- **Alternative:** surplus cash could fund the whole plant and save about Rs 10 cr a year in net interest, at the cost of reducing liquid reserves by Rs 900 cr. The recommended mix preserves liquidity and dividend capacity.

Uses and sources (Rs cr)

USES	
Plant & machinery, civil	1,050
Working capital margin	150
Total project cost	**1,200**
SOURCES	
Term loan	900
Internal accruals	300
New equity	0
Total	**1,200**

Payback 1.5 yrs | Company DSCR (min) 25.3x

Year by year (Rs crore)

Year	Utilisation	Revenue	EBITDA	CFADS	Interest	Principal	DSCR	Outstanding
Y1	0%	0	-60	-60	76	0	-	900
Y2	50%	2,297	765	610	76	129	2.98x	771
Y3	70%	3,215	1,095	855	66	129	4.40x	643
Y4	85%	3,904	1,342	1,038	55	129	5.67x	514
Y5	85%	3,904	1,342	1,035	44	129	6.01x	386
Y6	85%	3,904	1,342	1,033	33	129	6.40x	257
Y7	85%	3,904	1,342	1,030	22	129	6.85x	129
Y8	85%	3,904	1,342	1,027	11	129	7.36x	0

Method: company figures from the CMA (FY2027 Estimated); sales grown at 4.4% a year; tax 25%. DSCR = (PAT + depreciation + interest) / (principal + interest), the bank appraisal formula; target 1.50x and minimum own contribution 25% are typical Indian bank norms (DSCR at least 1.25-1.50; promoter contribution 25-33%). Loan rate 8.5% assumed with RBI repo at 5.50% (7 Oct 2026). Plant inputs (capacity, ramp-up, cost savings, project cost) are ILLUSTRATIVE and must be replaced with the company DPR. Estimates, not guarantees; subject to lender appraisal and advisor review.